

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

Practice turning your diagnosis into an answer-first close until it is automatic: 'I recommend X, because A and B from the analysis; the main risk is C, which I'd manage by D; next steps are E.' You had every ingredient here — flat prices, COGS up from 42% to 58% of revenue, traffic up only 4–5% — but could not assemble them without being handed the answer. Rehearsing this template, along with a default profit tree for the opening, will let you commit independently at both ends of the case.

Rubric Scores

Problem Structuring

needs work

What needs work

The opening was a generic three-bucket list with no restated objective, no sub-points, and nothing tailored to a coffee chain's margin collapse.

"Okay, so... I'd want to look at three big areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe something external, like the market or competitors. Does that seem okay as a starting point?"

The candidate eventually assembled a recognizable profit tree (price × cups on revenue; beans, rent, labor on costs) and asked for the cost breakdown, but only after stalling and needing both a Level 1 restate and a Level 2 narrowing hint, so the final framework was not independent work.

"I'm stuck, sorry. I don't really know where to start."

"hmm... I'm not sure. Sorry."

"Okay so... I'd check revenue first — price and cups. Then costs, split into beans, rent, labor. Do we have a breakdown of costs by category, and whether any of them went up?"

Prioritization pointed at revenue first even though the prompt says revenue grew 15% while margin fell; the facts point to costs as the likely driver.

"I'd check revenue first — price and cups."

Missed opportunities

Turn 2, the opening framework question after a margin drop from 24% to 6% despite 15% revenue growth.

A great answer: "The goal is to find why net margin fell 18 points while revenue grew 15%, and how to recover it. Profit is revenue minus costs. On revenue: price per item, items per visit, and traffic. On costs: COGS (beans, dairy, packaging, food), labor, and overhead/rent. Because revenue grew while margin shrank, my hypothesis is that costs rose faster than prices, most likely COGS from commodity inflation. So I'd start with each cost line as a share of revenue over two years, then check whether prices kept pace and whether peers face the same pressure."

Quantitative & Analytical Rigor

needs work

What went well

The candidate correctly decomposed revenue growth into ticket and transactions (1.15 / 1.10 H 4–5% traffic growth) and drew a business implication from it.

"So transactions grew about 1.15 divided by 1.10, which is roughly 1.045 — so only about 4 or 5%."

"That matters, because if traffic is barely growing, raising prices is riskier — there's less cushion if customers drop off."

What needs work

The candidate correctly converted COGS to dollars (\$278M today vs. ~\$175M two years ago, a ~59% increase against 15% revenue growth), but repeatedly called the 16-percentage-point rise in COGS share a '16% increase' even after three probes; the relative increase in share is 16/42 H 38%, a fundamental points-vs-percent unit error.

"Hmm. I think they're the same here — it moved 16, and since it's a percentage already, that's 16%. So COGS went up 16%."

"So, 58 minus 42 is 16. And since these are already percentages, the increase is 16%. That's the third time I'm getting the same thing, so I think it's 16%."

"Revenue is \$480M, so COGS is 58% of that — 0.58 times 480 is about \$278M today."

"So 278 minus 175 is about 103. And 103 divided by 175 is about 0.59 — so COGS went up roughly 59% in dollars, while revenue only grew 15%."

The candidate never tested whether the bean spike explains the 16 points; the claim that the input-cost figures 'line up' was asserted, not computed.

"That's way out of line. And it lines up with the input costs you gave me — beans up 40%, everything else up 37.5%."

Missed opportunities

Turn 32–34, the interviewer asks whether 16 points and 16 percent are the same thing.

A great answer: "No. COGS went from 42% to 58% of revenue, which is a 16-percentage-point rise. Relative to the starting share, that's $16 \div 42 \approx 38\%$. In dollars it's larger still, because revenue also grew 15%: \$175M to \$278M, about +59%.

Turn 28, after receiving the bean share and the input-cost inflation figures.

A great answer: "Let me check whether beans explain it. Beans were 25% of COGS, so $0.25 \times 42 = 10.5$ points of revenue. A 40% rise adds about 4.2 points. The other 31.5 points rising 37.5% add about 11.8. Together that's ~16, so beans are only about a quarter of the problem; dairy, packaging, and food drive the rest."

Data & Exhibit Interpretation

adequate

What went well

The candidate linked the cost data to flat menu prices and identified missing pass-through as the mechanism.

"So it's input cost inflation, and they haven't passed enough of it through to customers. The ticket only went up 10%, and that's from people buying more items, not from higher prices."

What needs work

The candidate correctly isolated COGS as the source of nearly all of the 18-point margin decline and immediately asked what is inside COGS, but read the line items imprecisely, mislabeling the 16-point share change as a 16% increase and waving off overhead's 2-point rise as flat.

"So COGS went up 16% over the two years, and labor and overhead basically held flat."

"That's the whole story, basically — the 18 points of margin lost almost all came from COGS."

"So I'd dig into COGS. Do we have a split of what's inside COGS — like beans versus milk versus cups and packaging?"

Once given the COGS split, the candidate did not test how much of the 16 points beans versus other inputs explain, so the 'not just beans' insight was never made explicit.

"Okay, so that's it. Prices are flat while beans are up 40% and other inputs up 37.5%."

Missed opportunities

Turn 27, first reaction to the cost-structure exhibit.

A great answer: "Margin fell 18 points. COGS accounts for 16 of them, going from 42% to 58% of revenue. Overhead adds the other 2, from 12% to 14%, and labor is flat at 22%. So COGS is the driver. Next I'd split COGS by input and test whether the bean spike alone explains 16 points."

Business Judgment & Insight

adequate

What went well

The candidate named commercially sensible levers (price, supplier terms/hedging, mix) and correctly ruled out labor and overhead as fix areas.

- “For reversing it... the obvious one is raising menu prices, since they haven't moved in two years and input costs are up ~40%.”
- “Labor at 22% and overhead at 12 to 14% barely moved, so there's nothing to fix there.”

What needs work

The candidate claimed volume growth is hurting the business. With COGS at 58% of revenue, each extra sale still carries a positive gross margin, so the damage comes from unit economics (cost per item up, price flat), not from volume.

- “Volume growth is actually hurting them a bit, since each sale carries worse margin.”
- The candidate surfaced the price-elasticity risk unprompted and connected it to weak traffic growth, but did not pair it with a mitigation (e.g., a test-and-learn rollout or selective SKU pricing) until the interviewer supplied one, and never prioritized the levers by impact.
- “Hmm. Maybe how price-sensitive customers are. But I don't really know.”
- “I'm less sure how much of the 40% they could actually pass through without losing customers.”
- “That matters, because if traffic is barely growing, raising prices is riskier — there's less cushion if customers drop off.”

Missed opportunities

Turn 41, after naming price as the obvious lever and flagging pass-through risk.

- A great answer: “To manage that risk, I wouldn't raise prices across the board. I'd raise them selectively on specialty drinks where customers are less price-sensitive, pilot the change in a subset of stores, and track traffic and ticket weekly before rolling it out.”

Creativity & Brainstorming

adequate

Time-pressure load-shedding compressed the brainstorm to a single prompt, so brainstorm depth reflects session coverage; the rating is based on the ideas the candidate actually offered.

What needs work

The candidate produced three distinct levers spanning price, cost, and mix, including a mix shift toward items less exposed to bean prices, but listed them flatly rather than in explicit buckets, and the cost ideas stopped at beans rather than covering dairy, packaging, and food.

- “For reversing it... the obvious one is raising menu prices, since they haven't moved in two years and input costs are up ~40%.”
- “On the cost side, maybe renegotiating with bean suppliers or hedging, and looking at whether they can change the mix — push higher-margin items like food or non-coffee drinks that aren't as exposed to bean prices.”
- The candidate could not prioritize the ideas when asked which to do first.
- “I'm sorry, I really don't know.”

Missed opportunities

Turn 40, the interviewer asks what Brew & Bean could do to reverse the margin decline.

- A great answer: “I'll split this into three buckets: price, input costs, and mix. Price: selective increases on specialty drinks first. Input costs: longer-term bean contracts or hedging, plus renegotiating dairy and packaging, which make up most of COGS. Mix: steer customers toward higher-margin items, or offer a lower-cost blend in value-focused stores. I'd prioritize price, because it addresses the gap most directly and fastest.”

Synthesis & Recommendation

needs work

What needs work

The candidate could not commit to a recommendation despite repeated narrowing prompts. The case closed with the candidate only repeating back a recommendation the interviewer dictated.

- “I don't know. Sorry — I don't think I can put it together.”
- “I don't know. I'm sorry.”

Even when steered directly to pricing, the candidate would not own it or attach reasons, risks, or next steps.

- “Raising prices, I guess. But I don't know.”

Missed opportunities

Turn 44, the interviewer asks for the recommendation to the CEO and how to sequence it. The candidate had already built every piece needed.

- A great answer: “My recommendation is to raise menu prices, starting with specialty drinks. Prices have been flat for two years, while beans rose 40% and other inputs 37.5%. That has pushed COGS from 42% to 58% of revenue, which explains nearly all of the margin drop. Alongside the price move, I'd renegotiate supplier terms and push higher-margin items. The

key risk is traffic, which is only growing about 4–5%. So I'd pilot the increase in a set of stores, monitor traffic and ticket for a few weeks, and then roll it out."

Communication & Delivery

needs work

What went well

In the analysis stretch, the candidate's explanations were clear and logically sequenced.

"So in dollars, COGS went from \$175M to \$278M. That's much bigger than 16%."

What needs work

Delivery leaned on frequent requests for validation and apologies rather than top-down statements.

"Am I on the right track at all?"

"Sorry I couldn't get there on my own."

Long stalls and 'I don't know' responses at both the structure and recommendation stages left the interviewer driving the conversation.

"I'm stuck, sorry. I don't really know where to start."

"I... I don't know. Sorry."

The candidate rarely used hypothesis language; data requests were made without stating what they expected to find.

"Do we have a breakdown of costs by category, and whether any of them went up?"

Missed opportunities

Turn 25, asking for cost data after building the tree with interviewer help.

A great answer: "My hypothesis is that costs, probably ingredients, rose faster than prices, since revenue grew while margin fell. To test that, could I see each cost line as a share of revenue now versus two years ago?"

Pushback, Composure & Case Leadership

needs work

What needs work

When challenged on the volume assumption, the candidate updated cleanly with explicit reasoning and drew a new implication, but on the points-vs-percent challenge held the wrong answer rigidly through repeated probes instead of re-examining the unit.

"That's the third time I'm getting the same thing, so I think it's 16%."

"Oh — right. Revenue is price times transactions, and the ticket went up about 10%, from \$6.20 to \$6.80. Revenue grew 15%."

The candidate was proactive during the diagnosis, requesting the right data such as menu price history, but was passive at the two decision points, needing Level 1 and Level 2 assists on structure and never independently driving to a recommendation.

"hmm... I'm not sure. Sorry."

"I'm sorry, I really don't know."

"Do we have menu price history — have they actually raised prices at all in two years?"

Missed opportunities

Turn 46, the interviewer narrows the question to 'which one would you tell the CEO to do first, and why?'

A great answer: "Pricing first. It goes straight at the gap: costs are up nearly 40% and prices haven't moved. Supplier terms take longer to renegotiate, and a mix shift is slower still. I'd launch a price test now and run the supplier work in parallel."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:48

Okay, so... I'd want to look at three big areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe something external, like the market or competitors. Does that seem okay as a starting point?

Interviewer · 1:50

Okay. Before I react, walk me through what you'd look at within revenue and within costs, and which of those you'd start with and why.

Candidate · 2:12

Can I ask a clarifying question first — when you say 200 locations, are those all company-owned, or are some franchised?

Interviewer · 2:16

That's not in the information I have, so treat them as one chain for now. What would you like to look at first within revenue and costs, and why?

Candidate · 2:35

Okay. And the 15% revenue growth — is that total over the two years, or per year?

Interviewer · 2:39

It's total growth over the two-year period, not per year. On what you asked for: Total revenue is \$480M a year. Now, within revenue and costs, what would you look at first, and why?

Candidate · 2:57

Got it. And is that \$480 million the current year, or two years ago?

Interviewer · 3:01

Take it as the current annual figure. Now, within revenue and costs, what would you look at first, and why?

Candidate · 3:22

Sorry, one more — did they open new locations in that period, or is it the same 200 stores?

Interviewer · 3:25

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Now, take a minute if you need it. Walk me through your structure within revenue and costs, and which you'd start with.

Interviewer · 4:26

Still with me? Take your time.

Candidate · 4:46

hmm, I'm not sure.

Interviewer · 4:48

Take your time. The question on the table is how you'd break down revenue and costs, and which you'd look at first.

Candidate · 5:03

I'm stuck, sorry. I don't really know where to start.

Interviewer · 5:07

That's okay. Start simple: profit is revenue minus costs. What are the pieces that make up revenue for a coffee chain, and what are the main cost categories?

Candidate · 5:22

god I'm so bad at this. I really don't know.

Interviewer · 5:24

Let's simplify. Margin is profit as a share of revenue, so what are the two ways that margin can fall?

Candidate · 5:36

hmm... I'm not sure. Sorry.

Interviewer · 5:38

That's okay, no need to apologize. Think of one coffee shop: what does a customer pay for, and what does the owner pay for to serve them? Just name one thing on each side.

Candidate · 5:58

A customer pays for a cup of coffee. And the owner pays for... coffee beans, I guess.

Interviewer · 6:00

Okay. A cup of coffee is price times number of cups, and beans are one kind of cost. What other costs does the owner pay for to run that shop?

Candidate · 6:12

Rent, maybe. And paying the baristas.

Interviewer · 6:15

Okay. So revenue is price times cups sold, and costs include beans, rent, and baristas. Now put that together: how would you organize those into a structure to find why margin fell, and which piece would you check first?

Candidate · 6:50

Okay so... I'd check revenue first — price and cups. Then costs, split into beans, rent, labor. Do we have a breakdown of costs by category, and whether any of them went up?

Am I on the right track at all?

Interviewer · 6:55

I won't grade you mid-case. Here's the cost structure over time. On what you asked for: The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. On the data you asked for — I'll come to that shortly. What do you see, and which category do you want to dig into?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 7:49

Okay. So COGS went from 42 to 58, that's 16 points. So COGS went up 16% over the two years, and labor and overhead basically held flat. That's the whole story, basically — the 18 points of margin lost almost all came from COGS.

So I'd dig into COGS. Do we have a split of what's inside COGS — like beans versus milk versus cups and packaging?

Interviewer · 7:55

Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. You said COGS went up 16%. Sixteen of what, exactly?

Candidate · 8:30

Sixteen percent — it went from 42 to 58, so that's 16 points higher, which is a 16% increase.

Sorry, I... honestly I think I'm going to bomb every interview I do. I don't know why I'm even doing this.

Interviewer · 8:30

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 9:09

I'd rather keep going, honestly. Thanks though. I'm okay — I just get in my head.

So, back to COGS. It went up 16%, from 42 to 58. And beans were 25% of that, with bean costs up 40%. Am I on the right track?

Interviewer · 9:12

Okay, glad to keep going. One thing first: you've called the move from 42 to 58 both 16 points and 16 percent. Are those the same thing, and what is it a share of?

Candidate · 9:53

Hmm. I think they're the same here — it moved 16, and since it's a percentage already, that's 16%. So COGS went up 16%.

Oh, wait — the 42 and 58 are shares of revenue, right? So COGS is 58% of revenue now. But the increase is still 16%.

Interviewer · 9:55

Okay, they're shares of revenue. Now, if COGS went from 42 to 58 as a share of revenue, what would be the percentage increase in COGS relative to where it started? Walk me through that calculation.

Candidate · 11:04

So, 58 minus 42 is 16. And since these are already percentages, the increase is 16%. That's the third time I'm getting the same thing, so I think it's 16%.

Revenue is \$480M, so COGS is 58% of that — 0.58 times 480 is about \$278M today. Two years ago, 42% of revenue... but revenue was lower then, since it grew 15%. So 480 divided by 1.15 is about \$417M, and 42% of that is about \$175M.

So in dollars, COGS went from \$175M to \$278M. That's much bigger than 16%.

Interviewer · 11:08

Okay. Using your two dollar figures, what's the percentage increase in COGS, and what does it tell you about the driver of the margin decline?

Candidate · 12:25

So 278 minus 175 is about 103. And 103 divided by 175 is about 0.59 — so COGS went up roughly 59% in dollars, while revenue only grew 15%.

That's way out of line. And it lines up with the input costs you gave me — beans up 40%, everything else up 37.5%. So it's input cost inflation, and they haven't passed enough of it through to customers. The ticket only went up 10%, and that's from people buying more items, not from higher prices.

Do we have menu price history — have they actually raised prices at all in two years?

Interviewer · 12:26

Menu prices have not changed in two years.

Candidate · 13:34

Okay, so that's it. Prices are flat while beans are up 40% and other inputs up 37.5%. The \$6.80 ticket is just customers buying more stuff, so they're selling more volume at the same prices while every cup costs a lot more to make. Volume growth is actually hurting them a bit, since each sale carries worse margin.

Labor at 22% and overhead at 12 to 14% barely moved, so there's nothing to fix there.

Do we have transaction volume — how many cups or visits a year?

Interviewer · 13:40

I don't have a transaction count in the information I have. Beyond what we've diagnosed, what could Brew & Bean do to reverse the margin decline?

Candidate · 14:50

Okay, I'll just assume volume grew roughly in line with revenue, around 15%, since prices were flat.

For reversing it... the obvious one is raising menu prices, since they haven't moved in two years and input costs are up ~40%. On the cost side, maybe renegotiating with bean suppliers or hedging, and looking at whether they can change the mix — push higher-margin items like food or non-coffee drinks that aren't as exposed to bean prices.

I'm less sure how much of the 40% they could actually pass through without losing customers.

Interviewer · 14:54

Walk me through that volume assumption. Check it against what you know about the average ticket and total revenue growth.

Candidate · 15:56

Oh — right. Revenue is price times transactions, and the ticket went up about 10%, from \$6.20 to \$6.80. Revenue grew 15%. So transactions grew about 1.15 divided by 1.10, which is roughly 1.045 — so only about 4 or 5%.

So volume is basically flat-ish. The revenue growth is mostly people buying more per visit, not more customers coming in. That matters, because if traffic is barely growing, raising prices is riskier — there's less cushion if customers drop off.

Interviewer · 16:01

Understood. Imagine the CEO is in front of you now. What's your recommendation, and how would you sequence the actions?

Candidate · 16:53

I... I don't know. Sorry.

Interviewer · 16:56

Take a minute. You've already named several actions: price, supplier terms, and mix. Which one would you tell the CEO to do first, and why?

Candidate · 17:48

I'm sorry, I really don't know.

Interviewer · 17:50

No need to apologize. Start with just one: costs are up sharply and prices haven't moved in two years. Of the actions you named, which would address that most directly?

Candidate · 18:44

Raising prices, I guess. But I don't know.

Interviewer · 18:47

Okay. Say you tell the CEO to raise prices. What would you want to know or check before deciding how much to raise them, and what would you do alongside it?

Candidate · 19:03

Hmm. Maybe how price-sensitive customers are. But I don't really know.

Interviewer · 19:05

Okay. Put it together in a few sentences for the CEO: what do you recommend, what's the risk, and how would you manage that risk?

Candidate · 19:22

I don't know. Sorry — I don't think I can put it together.

Interviewer · 19:26

We're near time. What's your bottom-line recommendation to the CEO?

Candidate · 19:38

I don't know. I'm sorry.

Interviewer · 19:42

Here's the shape, in plain words: raise menu prices, since they haven't moved while input costs rose. Pair that with supplier negotiation and a mix shift. Test the price move first, watching traffic closely. Can you repeat that back to me in your own words?

Candidate · 20:32

Raise menu prices, because they've been flat for two years while beans and other inputs went up almost 40%. At the same time, renegotiate with suppliers and push more of the higher-margin items. And test the price increase in some stores first, watching whether traffic drops, since transactions are only growing about 4 or 5%.

Sorry I couldn't get there on my own.

Interviewer · 20:35

Go on.

Candidate · 21:18

That's really all I have. I think the diagnosis part made sense to me once you pushed — the COGS line was clearly the problem. I just couldn't turn it into advice.

Thanks for being patient with me. I should probably do a lot more reps before I try this for real.

Interviewer · 21:20

That's time. Thanks for working through it — your written report will follow.